THE PAVILLION · 6400 SIERRA COURT, SUITE E, DUBLIN, CA

Business Plan, Setup Costs, Operating Costs, Expected Revenue & Build Timeline · 96,000 Sq. Ft.

PREPARED FOR PROPERTY SELLERS
100% CASH FUNDED · NO BANK LOAN

Executive Summary for the Building Owners (Dublin Sierra LLC): Precision Developers / Precision Security is leasing **6400 Sierra Court, Suite E (96,000 sq. ft. leased)** on a **10-year lease (+ 10-year option)** to open **The Pavillion**—a family-friendly, **100% alcohol-free and smoke-free** indoor sports, recovery, Indian fusion dining, and business club destination. Below are the straightforward numbers showing **how much it costs to build**, **how long construction takes**, and **when positive cash flow begins**.

1. THE THREE CORE QUESTIONS — ANSWERED UP FRONT

1. HOW MUCH TO BUILD & OPEN?

$3,000,000 Cash

$2,400,000 total construction & equipment cost inside the existing shell ($25/SF), plus **$600,000** for security deposit, pre-opening setup & cash cushion. **100% cash—no bank loan.**

2. HOW LONG WILL IT TAKE TO BUILD?

6 Months Total

Months 1–2: City of Dublin interior permits, use clearance & drawings.
Months 3–5: 90-day modular interior fit-out (no structural demo).
Month 6: Inspections, training & **Grand Opening**.

3. WHEN DOES POSITIVE CASH FLOW START?

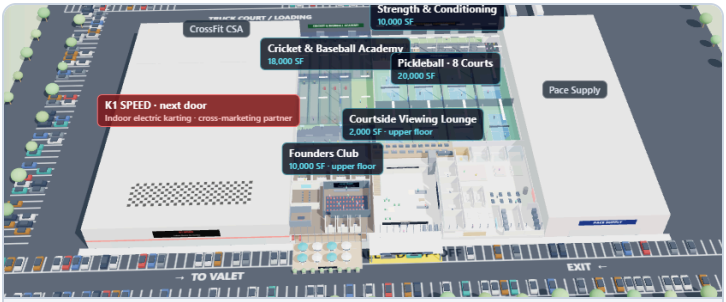
Month 9 (Month 3 Open)

Doors open at the end of Month 6. By **Month 9 (90 days after opening)**, monthly revenue (**$450,000/mo**) exceeds rent (**$148,000/mo**) and all expenses, producing **+$40,000/mo** positive cash flow.

2. VISUAL OVERVIEW — WHAT WE ARE BUILDING INSIDE 6400 SIERRA COURT, SUITE E



Two-Level Interior Vision: Ground-floor championship pickleball courts, batting lanes & zero-proof dining, overlooked by the existing second-floor Founders Lounge & viewing balcony.



Exact 6400 Sierra Ct, Suite E Layout (96,000 SF): Fits cleanly inside the existing building between K1 Speed (Suite B) and Pace Supply (Suite G), using all 398 site parking stalls.

3. PROPERTY & LEASE SUMMARY (6400 SIERRA COURT, SUITE E, DUBLIN, CA 94568)

PROPERTY & LEASE ITEM	AGREED TERMS FOR 6400 SIERRA COURT, SUITE E	WHY THIS PROTECTS THE BUILDING OWNERS
Leased Premises	**96,000 Sq. Ft. Leased** (~78,600 SF Ground Floor + ~19,400 SF Existing 2nd Floor per Suite E plans)	Reuses the existing concrete shell, 30' clear ceiling, plumbing core, sprinklers & 2nd-floor structure.
Monthly Building Rent + NNN	**$1.25/SF Base ($120,000) + $0.29/SF NNN ($27,840) = $147,840/mo** (shown as ~$148,000/mo)	Backed by Precision Security corporate cash flow + $600,000 dedicated deposit & opening cash reserve.
Lease Term & Renewal	**10-Year Initial Term + One 10-Year Option** (3% annual base rent increase)	Long-term tenant investing $2,400,000 into building improvements ($3,000,000 total setup budget).
Tenant & Financial Backing	**Precision Developers / Precision Security Principals** (100% Cash Funded)	Actual historical company P&L, Balance Sheet & last 2 years of partner tax returns provided directly.

SETUP COSTS & 6-MONTH CONSTRUCTION TIMELINE

Specific to 6400 Sierra Court, Suite E · Practical Interior Fit-Out of Existing 96,000 Sq. Ft. Shell

$2,400,000 CONSTRUCTION + $600,000 RESERVE = $3.0M

1. SETUP & CONSTRUCTION COSTS (HOW MUCH IT COSTS TO BUILD & LAUNCH)

SETUP / CONSTRUCTION CATEGORY	SCOPE OF WORK SPECIFIC TO 6400 SIERRA CT, SUITE E	ESTIMATED COST
1. Pickleball Courts & Lounge	22,000 SF: 8 cushioned indoor courts over existing slab, nets, curtains, padded columns & L2 viewing lounge	**$450,000**
2. Cricket & Baseball Academy	18,000 SF: 12 ceiling-hung retractable batting tunnels, synthetic turf lanes & bowling/pitching machines	**$250,000**
3. Lobby, Café & Locker Rooms	15,000 SF: Existing front-office entry refresh, reception desk, zero-proof café counter & locker rooms	**$125,000**
4. Spa & Recovery	12,000 SF: Modular prefabricated cedar saunas, cold plunge tubs, compression recovery chairs & suites	**$75,000**
5. Strength & Conditioning Gym	10,000 SF: Heavy-duty rubber athletic flooring, turf sled strip, commercial power racks, weights & cardio	**$350,000**
6. Upstairs Founders Club	10,000 SF: Cosmetic finish upgrade, glass conference partitions, AV & lounge seating on existing 2nd floor	**$100,000**
7. Indian Fusion Restaurant	9,000 SF: Commercial kitchen line, ventilation/tandoor setup, dining room furniture & smoke-free patio	**$300,000**
8. Misc (Permits, Plans & Contingency)	Architectural/MEP/sprinkler plans, City of Dublin building & health permits, signage & build contingency	**$250,000**
9. HVAC & Electrical	High-bay LED sports lighting across courts/cages, electrical sub-panel distribution & HVAC zoning	**$500,000**
TOTAL CONSTRUCTION COST	**Complete Interior Fit-Out & Equipment Across Existing 96,000 SF ($25 / Sq. Ft.)**	**$2,400,000**
10. Deposit, Launch & Working Reserve	Security deposit ($150k), pre-opening staffing/supplies ($150k) & opening cash cushion ($300k)	**$600,000**
TOTAL SETUP & OPENING BUDGET	**100% Funded in Cash by Precision Developers (Zero Bank Loan Required)**	**$3,000,000**

2. HOW LONG IT TAKES TO BUILD & REACH POSITIVE CASH FLOW (12-MONTH ROADMAP)

MONTHS 1 – 2

Permits & Plans

Submit interior & MEP plans to City of Dublin; order court, turf, gym & kitchen equipment.

MONTHS 3 – 5

90-Day Fit-Out

Modular build inside existing shell: courts, cages, gym, kitchen, saunas & 2nd-floor finishes.

MONTH 6

Grand Opening

Final City inspections, staff training & Grand Opening. Memberships & leagues go live.

MONTHS 7 – 8

Early Ramp-Up

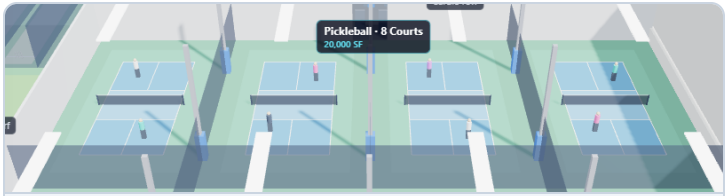
First 60 days open: revenue ramps from $320k/mo to $400k/mo, reaching break-even in Month 8.

MONTH 9 (OPEN M3)

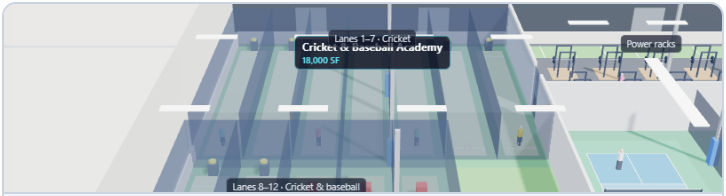
Positive Cash Flow

$450,000/mo revenue vs. $410,000/mo total costs (incl. rent) = **+$40,000/mo positive cash flow**.

3. INTERIOR ZONE VISUALS — PRACTICAL MODULAR FIT-OUT INSIDE THE EXISTING SHELL



8 Championship Pickleball Courts ($450,000 · 22,000 SF): Laid directly over the existing concrete slab between 40' structural column lines—zero column relocation.



12 Cricket & Baseball Batting Lanes ($250,000 · 18,000 SF): Ceiling-hung retractable netting & turf lanes in the 30' high-bay NW corner below the 2nd-floor overlook.

OPERATING COSTS & EXPECTED REVENUE

Realistic Monthly & Annual Numbers at Steady State · 6400 Sierra Court, Suite E

$600,000/MO EXPECTED REVENUE
$425,000/MO OPERATING COSTS

1. OPERATING COSTS (WHAT IT COSTS EACH MONTH & YEAR TO RUN THE BUILDING)

OPERATING EXPENSE ITEM	WHAT THIS COVERS	MONTHLY COST	ANNUAL COST
1. Building Rent + NNN Charges	96,000 SF @ $1.25 Base + $0.29 NNN ($147,840/mo exact; +3%/yr escalation on Page 4)	**$148,000**	**$1,776,000**
2. Staff Payroll, Coaches & Chefs	General Manager, front desk, kitchen & café team, gym/recovery attendants & sports coaches	**$155,000**	**$1,860,000**
3. Restaurant Food, Café & Supplies	Fresh kitchen ingredients, zero-proof café beverages, towels & daily facility supplies	**$45,000**	**$540,000**
4. Utilities, Janitorial & Upkeep	Electricity, water, HVAC filter/service contract, nightly janitorial & security	**$40,000**	**$480,000**
5. Insurance, Software & Marketing	Commercial liability insurance, member booking software, accounting & local marketing	**$37,000**	**$444,000**
TOTAL OPERATING COSTS (INCL. RENT)	**All-In Monthly & Annual Operating Budget**	**$425,000 / mo**	**$5,100,000 / yr**

2. EXPECTED REVENUE (HOW THE FACILITY MAKES MONEY ACROSS 5 EVERYDAY STREAMS)

FACILITY ZONE (96,000 SF TOTAL)	SIMPLE EVERYDAY REVENUE DRIVERS	MONTHLY REVENUE	ANNUAL REVENUE
1. Indian Fusion Restaurant & Café 9,000 SF Restaurant + 15,000 SF Lobby/Café	~90 restaurant guests/day ($44 avg meal), daytime café/chai bar & family/event catering (100% alcohol-free)	**$140,000**	**$1,680,000**
2. 8 Indoor Pickleball Courts & Lounge 22,000 SF Ground Courts + L2 Balcony	Pickleball Club memberships ($79/mo), hourly court bookings ($50/hr), leagues, clinics & weekend tournaments	**$125,000**	**$1,500,000**
3. 12 Cricket & Baseball Batting Lanes 18,000 SF Indoor Turf & Batting Tunnels	Youth & adult academy ($230/mo), hourly cage rentals ($50/hr), team practices & East Bay league training	**$120,000**	**$1,440,000**
4. Strength Gym, Spa & Recovery 10,000 SF Gym + 12,000 SF Sauna/Plunge	Gym memberships ($99/mo), sauna/cold-plunge recovery add-ons ($89/mo), $45 day passes & personal training	**$125,000**	**$1,500,000**
5. Upstairs Founders Club & Events 10,000 SF Existing 2nd Floor Sanctuary	Charter Founders ($350/mo) & Associates ($125/mo) memberships, conference room bookings & corporate offsites	**$90,000**	**$1,080,000**
TOTAL EXPECTED REVENUE	**Combined Monthly & Annual Revenue at Steady State**	**$600,000 / mo**	**$7,200,000 / yr**
Less: Total Operating Costs (Incl. Rent)	Includes Building Rent + NNN ($148,000/mo) and all payroll, food, utilities, insurance & upkeep	**($425,000 / mo)**	**($5,100,000 / yr)**
NET POSITIVE CASH FLOW (STEADY STATE)	**Surplus Cash After Paying Building Rent, NNN & All Operating Costs**	**+$175,000 / mo**	**+$2,100,000 / yr**

Why These Numbers Are Conservative & Dependable for the Landlord: Because we reuse Suite E's existing shell, plumbing core, and ~19,400 SF second floor, our construction cost is a practical **$2,400,000 ($25/SF)** with **zero bank debt**. Five everyday neighborhood revenue streams share the roof from morning to evening—even if actual revenue were **25% lower than projected**, the facility still comfortably pays the **$148,000/month rent** and all operating expenses.

5-YEAR CASH FLOW SUMMARY & SELLER COMMITMENTS

From $3.0M Cash Setup & 6-Month Build-Out to Steady Positive Cash Flow

POSITIVE CASH FLOW IN MONTH 9
+$2.10M/YR STEADY STATE

1. YEAR-BY-YEAR SUMMARY (EXPECTED REVENUE VS. RENT & OPERATING COSTS)

PERIOD	WHAT HAPPENS IN THIS PERIOD	EXPECTED REVENUE	BUILDING RENT + NNN	OTHER OPERATING / BUILD COSTS	NET CASH FLOW
Months 1–6 (6-Mo Build)	Permits & interior fit-out funded by the **$3,000,000 Cash Setup Budget** ($2.4M build + $600k reserve).*	$0	Per Lease (Precision Cash)	$2,400,000 (Construction)	**Pre-Funded**
Months 7–12 (First 6 Mos Open)	Grand Opening at end of Month 6. **Positive monthly cash flow starts in Month 9 (Month 3 open).**	**$2,700,000**	**$888,000**	**$1,562,000**	**+$250,000**
Year 2 (Months 13–24)	First full 12 months open across all sports, gym/recovery, restaurant & Founders Club zones (+3% base rent).	**$6,400,000**	**$1,825,000**	**$3,175,000**	**+$1,400,000**
Year 3 (Steady State)	**Full steady-state operation ($600,000/mo revenue vs. $425,000/mo total costs incl. escalated rent).**	**$7,200,000**	**$1,880,000**	**$3,220,000**	**+$2,100,000**
Year 4 (Months 37–48)	Continued steady operation with modest membership & event growth (incl. 3% base rent bump).	**$7,500,000**	**$1,935,000**	**$3,315,000**	**+$2,250,000**
Year 5 (Months 49–60)	Established regional athletic, dining & business hub in Dublin (incl. 3% annual base rent bump).	**$7,800,000**	**$1,995,000**	**$3,405,000**	**+$2,400,000**

*Note: Any lease/NNN payments scheduled during the Months 1–6 build-out period are paid directly from Precision Security / Precision Developers corporate cash flow, keeping the $3,000,000 project budget ($2,400,000 construction + $600,000 deposit/launch/working reserve) 100% dedicated to Suite E.

2. VISUALS OF THE RECOVERY SUITE & UPSTAIRS FOUNDERS CLUB SANCTUARY



Spa & Recovery Suite ($75,000 · 12,000 SF Ground SE): Modular cedar dry saunas, cold plunge tubs, compression recovery lounges, and bodywork suites near the existing plumbing core.



Upstairs Founders Club ($100,000 · 10,000 SF Level 2): Furnishes and upgrades the already-built second floor overlooking the indoor courts for meetings and 100% zero-proof hospitality.

3. DIRECT COMMITMENTS TO THE PROPERTY SELLERS

1. Actual Historical Financials & Tax Returns: Alongside this Dublin business plan and TI budget, **Precision Security / Precision Developers** and its partners are providing **actual historical financial statements (P&L, Balance Sheet) and the last 2 years of tax returns** directly to the sellers and listing broker for guaranty and credit verification.

2. Practical Fit-Out Respecting Your Building: Our layout works *with* 6400 Sierra Court, Suite E as built—keeping the concrete shell, roof, slab, column grid, and ~19,400 SF second-floor mezzanine intact while investing **$2,400,000 in clean interior improvements ($3,000,000 total setup capital)**.

3. Clean, Family-Safe Neighbor: 100% alcohol-free and smoke-free operation complementing neighboring tenants (K1 Speed & Pace Supply) and bringing families, athletes, and business owners to 6400 Sierra Court.